# *Business society*

## CORPORATE CLASH

FINAL BUSINESS CATEGORY STUDY GUIDE

*The Message Summit : Rebirth Of the Phoenix*

# INTRODUCTION

CORPORATE CLASH IS THE FLAGSHIP BUSINESS COMPETITION HOSTED BY THE BUSINESS SOCIETY. DESIGNED TO BRIDGE THE GAP BETWEEN CLASSROOM LEARNING AND PRACTICAL EXPOSURE, THIS COMPETITION ENGAGES STUDENTS IN REAL-WORLD BUSINESS SCENARIOS, FINANCIAL DECISION-MAKING, MARKET ADAPTABILITY, AND CRISIS MANAGEMENT UNDER TIME PRESSURE.

# CATEGORY OVERVIEW

## ROUND 1: PROFIT OR PERISH (STARTUP BUDGETING & MARKET SHOCK)

TEAMS RECEIVE A FICTIONAL STARTUP WITH A LIMITED BUDGET, DEFINED TARGET AUDIENCE, AND OPERATIONAL CHALLENGES. TEAMS MUST ALLOCATE FUNDS ACROSS STAFFING, PRODUCTION, MARKETING, AND EXPANSION. MIDWAY THROUGH THE ROUND, AN UNEXPECTED MARKET SHOCK CARD (SUCH AS RAW MATERIAL INFLATION OR COMPETITOR UNDERCUTTING) REQUIRES AN IMMEDIATE FINANCIAL PIVOT AND PRESENTATION TO JUDGES.

## ROUND 2: REPUTATION RESCUE (PR CRISIS & PRESS CONFERENCE)

QUALIFYING TEAMS FACE A MAJOR PUBLIC RELATIONS CRISIS CAUSED BY PRODUCT FAILURE, AN OFFENSIVE ADVERTISEMENT, OR A VIRAL CUSTOMER COMPLAINT. JUDGES ACT AS JOURNALISTS AND DISSATISFIED CUSTOMERS. TEAMS MUST DELIVER AN EMPATHETIC RECOVERY PLAN, HANDLE HOSTILE QUESTIONING, AND ADAPT LIVE TO EMERGING NEWS TWISTS.

# STUDY MATERIAL

## 1. ROUND 1 STUDY TOPICS: STARTUP MANAGEMENT & BUDGETING

- CAPITAL & RESOURCE ALLOCATION: DISTRIBUTING LIMITED FUNDS ACROSS STAFFING, PRODUCTION, MARKETING, AND EXPANSION WITHOUT OVERSPENDING.
- FIXED VS. VARIABLE COSTS: DIFFERENTIATING FIXED OVERHEADS (RENT, SALARIES) FROM VARIABLE OPERATIONAL COSTS (RAW MATERIALS, PACKAGING).
- PROFIT & EMERGENCY RESERVE BUFFER: RETAINING A 10%–15% CASH SAFETY CUSHION FOR MARKET SHOCKS AND MAINTAINING POSITIVE NET PROFIT (PROFIT = TOTAL SALES - TOTAL COSTS).
- MARKETING MIX (4 PS) & COMPETITORS: POSITIONING PRODUCT, PRICE, PLACE, AND PROMOTION TO TARGET AUDIENCES WHILE AVOIDING DAMAGING PRICE WARS BY BUILDING UNIQUE VALUE.

# STUDY MATERIAL

## 2. ROUND 2 STUDY TOPICS: CRISIS CONTROL & REPUTATION

- STAKEHOLDER MANAGEMENT: BALANCING PRIORITIES BETWEEN INTERNAL OWNERS/STAFF AND EXTERNAL CUSTOMERS, MEDIA, AND PUBLIC GROUPS.
- THE A.C.T. CRISIS RESPONSE FRAMEWORK:
  - ACKNOWLEDGE & APOLOGIZE: TAKING DIRECT RESPONSIBILITY SINCERELY WITHOUT MAKING EXCUSES OR SHIFTING BLAME.
  - CORRECT THE MISTAKE: ANNOUNCING IMMEDIATE FIXES (RECALLS, REFUNDS, CAMPAIGN WITHDRAWALS).
  - TRUST & PREVENT: IMPLEMENTING LONG-TERM SAFEGUARDS TO GUARANTEE FUTURE RELIABILITY.
- PRESS COMPOSURE: DELIVERING CALM, UNIFIED, AND PERSUASIVE STATEMENTS DURING HOSTILE MEDIA QUESTIONING.

# PRACTICE SCENARIOS

ROUND 1 PRACTICE CASE STUDIES (STARTUP BUDGETING & MARKET SHOCK)

- CASE STUDY 1 (COMPETITOR PRICE WAR): A STUDENT-FOCUSED SNACK STARTUP HAS AN INITIAL BUDGET OF RS. 100,000. MIDWAY THROUGH OPERATIONS, A RIVAL BRAND LAUNCHES A SIMILAR SNACK AT A 25% LOWER PRICE.

  TASK: RE-ALLOCATE YOUR MARKETING AND PRODUCT BUDGET TO HIGHLIGHT YOUR SUPERIOR INGREDIENTS AND CUSTOMER SERVICE WITHOUT DROPPING PRICES INTO AN UNSUSTAINABLE PRICE WAR.

- CASE STUDY 2 (RAW MATERIAL INFLATION): A LOCAL CUSTOM APPAREL STARTUP FACES A SUDDEN 20% SURGE IN COTTON FABRIC PRICES DUE TO SUPPLY CHAIN SHORTAGES.

  TASK: USE YOUR 10% EMERGENCY RESERVE CASH BUFFER AND ADJUST NON-ESSENTIAL EXPANSION PLANS TO ABSORB THE COST INCREASE WHILE KEEPING YOUR NET PROFIT POSITIVE.

# PRACTICE SCENARIOS

## ROUND 2 PRACTICE CASE STUDIES (PR CRISIS & PRESS CONFERENCE)

- CASE STUDY 1 (OFFENSIVE ADVERTISEMENT BACKLASH): A TRENDY SHOE BRAND RELEASES A PROMOTIONAL VIDEO THAT ACCIDENTALLY SPARKS CULTURAL INSENSITIVITY CONTROVERSY ON SOCIAL MEDIA.

  TASK: APPLY THE A.C.T. FRAMEWORK TO WRITE A 3-SENTENCE PUBLIC APOLOGY, ANNOUNCE THE IMMEDIATE REMOVAL OF THE CAMPAIGN, AND EXPLAIN NEW APPROVAL POLICIES TO JOURNALISTS.

- CASE STUDY 2 (PRODUCT FAILURE & HEALTH REPORT): A BOTTLED JUICE COMPANY FACES VIRAL CUSTOMER REPORTS OF STRANGE TASTE AND MILD ALLERGIC REACTIONS DUE TO A PACKAGING BATCH FAULT.

  TASK: LEAD A LIVE PRESS BRIEFING TO ANNOUNCE A FULL PRODUCT BATCH RECALL, FULL CUSTOMER REFUNDS, AND AN INDEPENDENT QUALITY AUDIT TO RESTORE PUBLIC TRUST.